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1-D:

Land, as a factor of production, encompasses all natural resources used in the creation of goods and services. This includes not only the physical land itself, but also everything derived from it, such as water, minerals, and forests.

Natural gas is regarded as a factor of production of land.

Why not other options?

A- capital is a man made resources

B- risk taker

C- physical and mental effort

2-B:

From the given diagram, we can see that point B is the highest output of Y

Why not other options?

While the points C and D reduce the units of product Y to increase the more units of product X.

Point D is unattainable in the short run for an economy to achieve

3-B:

Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process.

$10000 \times 2 = 20,000$

$16000 \times 2 = 32,000$

$32000 - 20000 = 12,000$

She could take an apprenticeship for two years, instead of doing this she could start an unskilled job.

25000 is not taken as she would start earning when she completed her apprenticeship. So this is not an opportunity cost now.

4-C:

The formal microeconomics definition is the branch of economics that studies the behavior of individuals and businesses and how decisions are made based on the allocation of limited resources.

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

Economic growth is a macroeconomic aim while others mentioned is microeconomics

5-B:

Monopolists face no competition, so they can limit the quantity of goods or services supplied to the market to drive up the price and increase their profit. Therefore monopolists lead to under allocation of resources instead of social points of view. Thus leading to market failure.

6-A:

From the given diagrams, we can see that individual growers and the total market increase their total output when there is an increase in prices. This situation is following the law of supply that says, if there is increase in prices, producers would be willing to produce and supply more in a market, leading to extension in quantity supplied.

Why not other options?

- B- it is against the law of supply
- C- it changes as prices changes
- D- supply influence by the prices

7-B:

PED is calculated as the percentage change in quantity demanded divided by the percentage change in price.

PED: $4\%/5\%=0.8$

8-D:

Specialization in business involves focusing on one product or a limited scope of products so as to become more efficient. Specialization can increase productivity and provide a comparative advantage for a firm or economy.

Workers of Saudi Arabia are highly skilled and specialised in oil industries that result in disadvantage as workers may not easily switch to other job opportunities that could be available.

Why not other options?

- A- specialisation doesn't require different skills
- B- specialisation leads to EOS and ATC falls
- D- specialisation result in better allocation of resources and increases efficiency

9-A:

People save money for retirement to have a better life in future years

Why not other options?

- B- a fall in income results in people spending more on necessities to meet their basic life needs. As a result, less income remain for savings
- C- a fall in interest rates discourages people to save more due to low return on their income
- D- a reduction in tax free saving schemes may result in low savings

10-D:

From the given graph, we can see that in year 2 the line is above year 1. This means that in year 2, the earning of women has increased from the previous years and to the men also.

Why not other options?

- A- the data is in %
- B- the data is in %
- C- the data is in %

11-C:

If the consumer income has decreased, the proportion of income will be allocated on the food or the basic necessities would increase.

While leisure expenditure would be decreased due to fall in consumer affordability.

12-A:

Average fixed cost (AFC) is the fixed costs of production (FC) divided by the quantity (Q) of output produced.

As output increases, average fixed cost falls. This is because fixed costs are spread out over a larger number of units produced. If a company has fixed costs of \$10,000 and produces 100 units, the AFC is \$100 per unit. If they produce 1,000 units, the AFC falls to \$10 per unit.

output	total fixed cost \$		total variable cost \$	
100	1000	<i>100</i>	1000	<i>10</i>
200	1000	<i>5</i>	1500	<i>7.5</i>
300	1000	<i>3.3</i>	2000	<i>6.66</i>
400	1000	<i>2.5</i>	2500	<i>6.25</i>

From the given table, we can see that AFC keeps falling as more output increases.

Why not other options?

B- AFC never rises

C- AVC keeps falling

D- AVC also keeps falling but rises after a certain point

(**Remember U Shaped of AVC**)

13-B:

Profit= TR - TC

Maximising profit at 200 output of shoes

2200-1800=400

Why not other options?

A- 1300-1000=300

C- 3000-2700= 300

D- 3400-3200=200

14-B:

Labor productivity is a measure of economic performance that compares the amount of output with the amount of labor used to produce that output.

Each worker is now producing 4 tractors instead of 3 tractors in a month. This indicates that the labour productivity has increased per month.

Why not the other options?

A- 10% more workers produce the 10% more output, so the productivity remain constant

C- comment on production

D- comment on output or production

Production refers to the quantity of goods or services generated, while productivity measures the efficiency of that production process, or how well resources are utilized to create output

15-D:

Economies of scale occur when a company increases production volume, leading to a decrease in the average cost per unit of output.

In the long run, all the factors of production get variable and thus economies of scale take place.

16-A:

Public expenditure refers to the government's outlay of funds to fulfill its responsibilities and provide goods and services to the public. It includes spending on infrastructure development, education, healthcare, defence, social welfare, subsidies, administration, and more.

Therefore an investment expenditure is not a public expenditure.

17-C:

A balanced budget (particularly that of a government) is a budget in which revenues are equal to expenditures.

Why not other options?

A- no link

B- link to BoT

D- monetary equilibrium

18-B:

Corporation taxes are taxes on the company's profits. It is also known as priory taxes.

Why not other options?

A- it is tax on households wealth

C-indirect tax

D- indirect tax

19-A:

Public goods are characterized by two key features: non-excludability and non-rivalry.

Non-excludability means it's impossible or very costly to prevent individuals from consuming

the good, even if they don't pay for it. Non-rivalry implies that one person's consumption of the good does not diminish the amount available for others.

Therefore there is problem of free rider and government sole take the responsibility of public goods such as defence

20-B:

Frictional search unemployment refers to the temporary unemployment that occurs when individuals are between jobs or entering the workforce, actively searching for a new position that better suits their skills and preferences.

Why not other options?

A- Cyclical unemployment is a type of unemployment that is caused by fluctuations in the business cycle or economic cycle. It occurs when there is a downturn or contraction in the economy, which leads to a decrease in demand for goods and services, and subsequently a decrease in demand for labor.

C- Structural unemployment results from structural changes in the economy. One example is when robotic arms programmed to conduct surgeries render surgeons structurally unemployed.

D- Technological unemployment refers to job losses resulting from technological advancements that automate or replace human labor. It's a type of structural unemployment, where changes in the economy's structure

21-C:

Recession is a significant decline in economic activity spread across the economy, lasting more than a few months, normally visible in production, employment, real income, and other indicators.

We can see that during year 3 and year 4, the real GDP keep falling

22-C:

Constructing the Consumer Price Index (CPI) requires determining a representative basket of goods and services, tracking their prices over time, and then calculating the index value using a base year. This involves selecting items frequently purchased by consumers, monitoring price changes across various locations, and using a consistent methodology to compare prices over time.

Therefore wages levels not required for the construction of CPI

23-A:

We can see in the table that countries with higher inflation have higher interest rates, see country X.

Why not the other options?

B- countries with high interest rates have high unemployment, see X and Y

C- countries with lowest inflation have the lowest unemployment, see W and Y

D- see w and z

24-D:

Absolute poverty is a state of being in which a person lacks the necessities of life, such as food, clothing, and shelter. In contrast, relative poverty is a condition in which a person's income is insufficient to meet his or her needs when compared to others in society. Food is the basic necessity that is main indicator for the absolute poverty

25-B:

Real GDP per capita is a crucial economic indicator that reflects the average value of goods and services produced per person in a country, adjusted for inflation. It essentially provides a measure of the standard of living and is calculated by dividing real GDP by the total population

$$\text{GDP/Total population}$$

$$700/2=350$$

Why not other options?

A-200

C- 300

D- 150

26-A:

Developed country should have a low birth rate and death rate and high productivity

27-C:

Export subsidy is a government policy to encourage export of goods and discourage sale of goods on the domestic market through direct payments, low-cost loans, tax relief for exporters, or government-financed international advertising.

Export subsidies would make the domestic goods cheaper and impact our export revenue.

Why not other options?

A- embargo is a trade barrier imposed by one country or group of countries on another, typically involving a complete ban on trade or other commercial activity. This will impact the imports not the exports

B- An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the good may be brought into the country during a specified time period.

D- tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries

28-B:

Appreciation in a currency would likely make the exported goods more expensive while making imported goods relatively cheaper to the domestic residents.

29-A:

International specialization, where countries focus production on specific goods and services, is driven by several key factors, primarily comparative advantage and economies of scale. This leads to increased efficiency, lower production costs, and greater global output.

Specialization would likely make the countries reliant on imports to meet their domestic demand.

30-D:

Current Account

Visible Trade (Goods): Exports and imports of products like oil, cars, computers.

Invisible Trade (Services): Revenue from services (e.g., IT, tourism).

Income: Profits, interest, dividends from abroad.

Transfers: Remittances, gifts, donations

We can see that the balance of net transfers is negative in 2011 but in 2012, the negative balance is declining. This indicates that net transfers balance are improving.

Why not other options?

A- balance of goods is negative but it keeps increasing in the next year

B- balance of services is negative but it keeps increasing in the next year

C- net income should be increasing but it decreases in the next year that indicates that balance is not improving